

Delinquent History of a Fictitious Auto Loan Owner: Customer #637467

Introduction Customer #637467 is a 40-year-old grocery store supervisor living in Cedar Rapids, Iowa. In June 2020, she financed a compact crossover through Midwest Advantage Auto Finance. The loan totaled \$21,200 with a six-year term and a 6.6% interest rate. This document outlines her loan performance, financial disruptions, delinquency history, and final resolution.

Strong Initial Payment History From June 2020 through October 2021, Customer #637467 made every payment on time. Her monthly payment of \$349 was supported by stable employment and occasional seasonal bonuses. Her credit score improved from 645 to 673 during this period.

Childcare Instability In November 2021, her childcare provider closed unexpectedly. This forced the customer to switch to a more expensive childcare facility. Additional early drop-off and late pickup fees increased her monthly expenses by nearly \$400.

She continued paying through December but missed her first payment in January 2022. She contacted Midwest Advantage, and the lender granted a one-month deferment.

Inflation Pressure and Rising Costs Throughout early 2022, grocery prices, rent, and utility costs surged. Her store reduced overtime hours due to labor budget constraints. Although she attempted to keep up, she missed payments in April and May, placing her account 45 days delinquent.

Hardship Modification The lender approved a hardship plan: - Three months of \$215 payments - Deferred interest added to the loan - "Temporary hardship" flag on her credit file

She completed the reduced payments for June and July but struggled again in August after her daughter required an unexpected outpatient procedure that generated new medical bills.

Income Disruption In September 2022, Customer #637467 contracted severe pneumonia and was placed on medical leave. Her short-term disability paid only 60% of her income. She missed September, October, and November payments, causing the loan to reach 90+ days delinquent.

Repossession Process After four months of non-payment and limited contact, Midwest Advantage Auto Finance initiated repossession. The vehicle was recovered in December 2022.

Auction and Deficiency Balance The vehicle sold at auction for \$10,000. After accounting for unpaid principal, fees, and interest, the deficiency balance totaled \$5,300. Required notices were issued outlining repayment and settlement options.

Resolution and Settlement Agreement In April 2023, after returning to full-time work, Customer #637467 contacted the lender. She explained her recovery and improved financial stability. The lender offered a settlement: - \$2,200 paid over 12 months - Remaining deficiency forgiven upon completion

She made consistent payments and completed the settlement in March 2024. Her credit report now reads: "Settled – Less Than Full Balance."

Analysis and Lessons Learned Customer #637467's delinquency was primarily driven by: - Increased childcare expenses - Rising cost of living - Medical emergencies and reduced income during leave - Loss of overtime opportunities

Midwest Advantage Auto Finance followed responsible servicing procedures, offering deferments, modifications, and a fair final settlement.

Conclusion This case illustrates how working parents with rising household expenses and medical disruptions can fall into delinquency despite previously strong payment performance. Proactive lender communication and hardship programs can help borrowers navigate periods of financial instability.